



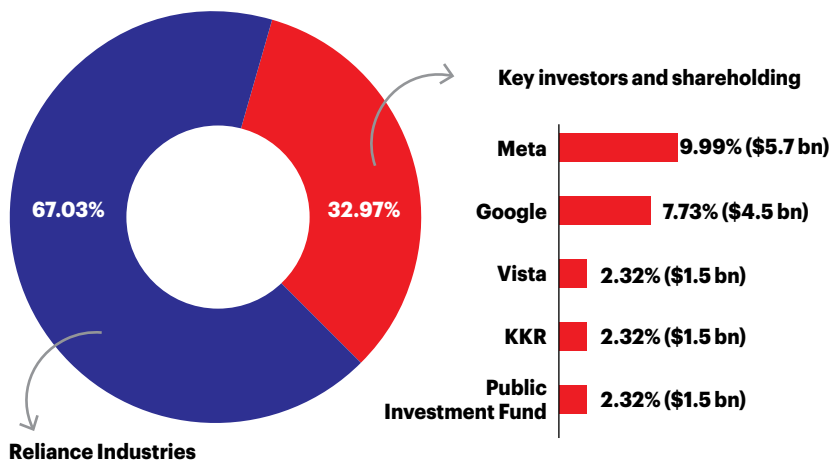
“At Jio’s scale, even 2.5% translates into a sizeable float and gives promoters flexibility in timing and structuring the offer”

AAKASH AGRAWAL

ASSOCIATE DIRECTOR - DIGITAL & NEW-AGE BUSINESS, ANAND RATHI INVESTMENT BANKING

SHAREHOLDING PATTERN

• Jio Platforms has raised \$20 billion from marquee investors



FIGURES IN BRACKETS ARE AMOUNTS INVESTED; SOURCE RIL

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subscribers and has rights to enviable properties such as the Indian Premier League and other marquee cricket tournaments.

Motilal Oswal Financial Services says the IPO, the first public issue from the RIL stable since 2006, could be the largest in India with a potential size of ₹30,000 crore, beating Hyundai Motor India's ₹27,869 crore IPO last year.

THE TECH PLAYER

At this year's AGM, Ambani outlined how Jio is capable of creating as much value as its global counterparts. "I am sure it will be a very attractive opportunity for all investors," he said.

According to Bhavesh A. Shah, MD & Head (Investment Banking) at Equirus Capital, Jio Platforms, with its disruptive strategies, has not just acquired a significant subscriber base but also created a digital movement in India by bringing down the cost of data. "The IPO would

broaden India's tech representation beyond IT services, giving investors exposure to a consumer internet and digital infrastructure story," he says.

In 2020, the company saw major investments from global tech giants such as Meta and Google, which together invested more than \$10 billion. "It's almost unheard of for Google and Meta or such companies to sit on the same cap table. Their strategic interests diverge globally, but India is an exception because it's the largest addressable internet market outside China," says Aakash Agrawal, Associate Director (Digital and New-age Business), Anand Rathi Investment Banking.

The IPO will give these investors a chance to reduce or liquidate their holdings. "It is obvious they will consider the option given that they put in the money over five years ago," says Arpit Jain, Joint MD of brokerage firm Arihant Capital Markets.

The big question isn't just the

company's valuation, but how it will be valued. A report by Citi Research right after the AGM in August estimated Jio Platforms' enterprise value at about \$135 billion. Equirus' Shah says the company will be valued less like a telecom firm and more like a global digital platform. "ARPU (average revenue per user), monetisation and ecosystem stickiness will matter more than subscriber counts," he says.

At the AGM, Ambani's son Akash, who spearheads Jio, said the company carries the largest wireless data traffic in the world. "India's next digital leap, and Jio's next growth engine, will come from businesses, large and small. Jio is building simple, scalable, and secure platforms for MSMEs and enterprises alike," he said.

THE BIG PLAY

Given Jio's multiple offerings, its functions are complex. Jain says it is